

Letter to Shareholders

Dear Fellow Shareholders:

I am pleased to report that 2004 was a very good year for Republic Services, Inc. Our team met and exceeded the important financial and management goals we told you about here a year ago, and we plan to work just as hard and accomplish just as much in the coming year.

Republic is strengthening its competitive position among the leading waste services providers every day. As always, we are doing so by offering our customers cost-effective and safe waste collection, reliable recycling, and environmentally protective disposal options.

I am proud of our team and what they accomplished. The results tell you just how well they did.

Revenue in 2004 grew 7.6 percent to \$2.7 billion, a record. The increases came largely from new municipal contracts and improved pricing. At the same time, we benefited from our presence in high-growth markets, especially those in the rapidly expanding Sunbelt states.

We met last year's guidance. Net income per diluted share rose 15 percent to \$1.53. Our revenue enhancement and cost reduction efforts produced results. We generated a record level of free cash flow - \$388 million to be exact. Republic continues to generate strong and predictable levels of cash flow. As in the past year, we will concentrate on free cash flow and use it for acquisitions, reinvestment, repurchases of our stock and regular quarterly cash dividends.

As I thought about these achievements, I realized they result from the environment that we work to create for both our customers and our people. We care about our customers and the communities we serve. About our people. About the environment. And, of course, we care about you -- our shareholders. Every year we adopt a theme that captures our Company and our values. Our theme for 2005 is "Republic Services...A Company that cares".

Our 13,400 dedicated people worked hard last year to create real value. We improved the way we deliver our services, increasing our efficiency in routing our collection trucks. We improved the way we construct disposal cells at numerous landfills, lowering costs. We worked with our vendors to control prices. And, we communicated to our customers the value of the services we offer. This year will be no different. We will continue to concentrate on these fundamentals.

Republic's future is bright. We are mindful of our mission. We know our business exists to ease the burden of managing society's waste. It's not a glamorous business, but it is an essential one, and we take this responsibility very seriously.

At the end of the year, Republic had 140 collection companies, 58 landfills, 96 transfer stations and 35 recycling facilities in 22 states. These resources give us many opportunities to listen to our customers, anticipate their needs and quickly respond to them. Each customer faces challenges unique to his or her business and community. Our goal is to remain flexible and to tailor our services to each customer.

